Practice workbook · Excess demand and excess supply

Finding the size of a market shortage or surplus at a given price, from a graph or by totalling demand figures over several periods or places.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-02

1. Question 4 · part a · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

4 A concert venue in Malaysia holds a maximum of 3,200 people for each performance. The quantity of tickets demanded for the most recent concerts is shown in Figure 5.

Concert	Quantity of tickets demanded
A	4,200
B	6,000
C	3,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three concerts totals 9,600. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

The Cuban Government owns and runs most industries in the country and more than 75% of the labour force is employed by the state.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of having a large public sector to a country such as Cuba.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 Figure 4 shows the quantity of a good supplied and demanded at different price levels.

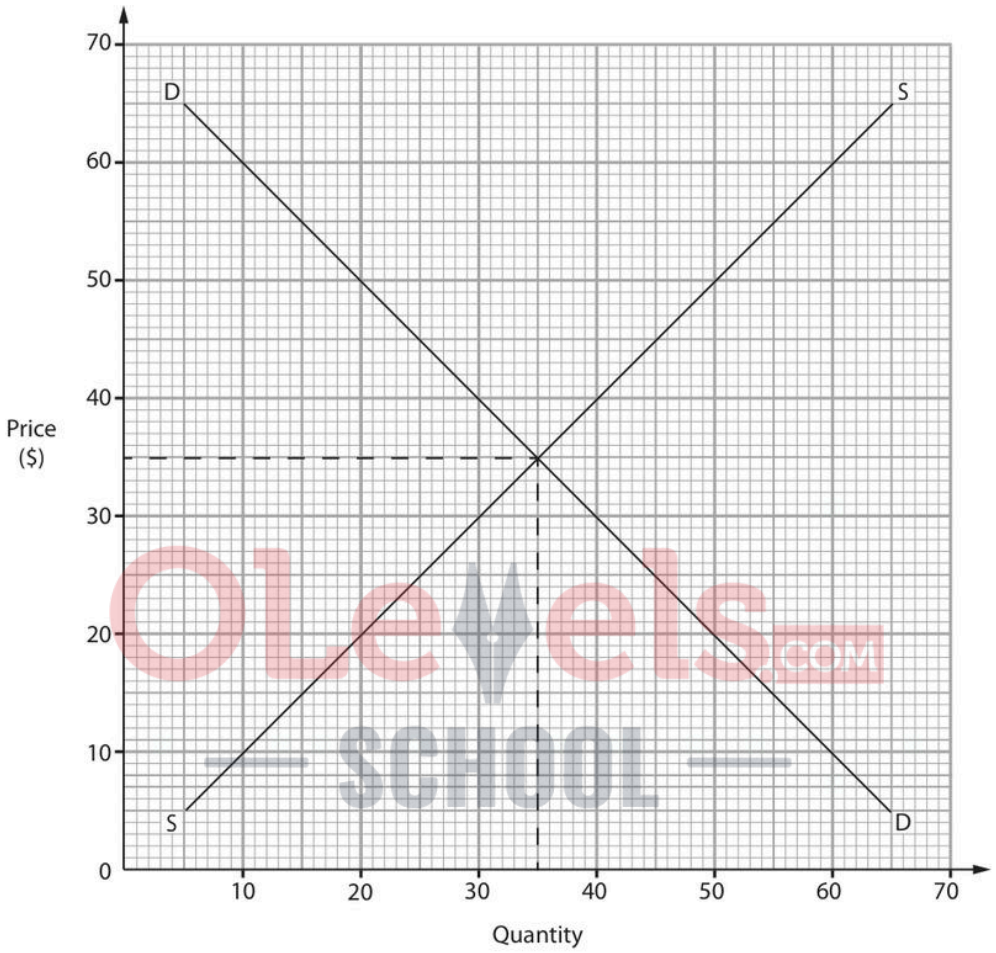


Figure 4

(a) Using the information in Figure 4, calculate the excess demand of goods in the market at a price of $20. You are advised to show your working.

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

NBC Universal pays $7.75bn for Olympics through to 2032

The International Olympic Committee (IOC) announced it had agreed a $7.75bn deal with the USA television network, NBC Universal. This will extend its broadcasting rights to the Olympic Games up until 2032. The deal gives NBC Universal total control over all media platforms in the USA, including television, internet and mobile. A spokesman for NBC Universal said they were confident they would get back the high cost through advertising.

(Source: adapted from https://eu.usatoday.com/story/sports/olympics/2014/05/07/nbc-olympics-broadcast-rights-2032/8805989/

(b) With reference to the data above and your knowledge of economics, analyse the benefits to NBC Universal of agreeing this deal with the IOC.

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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3. Question 4 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

4 Figure 6 shows the quantity of a good supplied and demanded at different price levels.

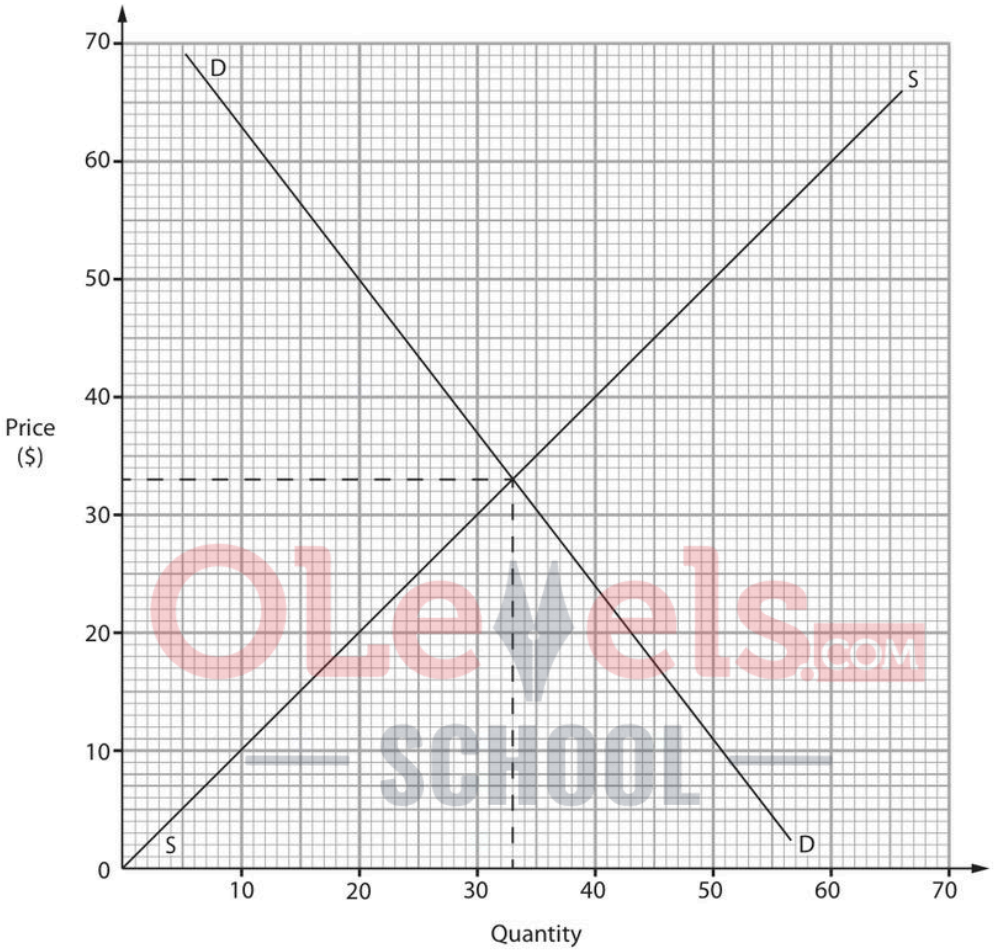


Figure 6

(a) Using the information in Figure 6, calculate the excess supply of goods in the market at a price of $50. You are advised to show your working.

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3. Question 4 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

Competition and Markets Authority warns online sellers about collusion

The Competition and Markets Authority (CMA) is a UK government department that aims to increase competition. It has reminded online sellers of electrical equipment that collusion is illegal and can result in serious penalties. The CMA stated that buying electrical equipment online, such as laptops and games consoles, means consumers can search a wide range of deals from many different sellers. However, it also stated that collusion is a threat.

(Source: adapted from © Crown Copyright)

(b) With reference to the data above and your knowledge of economics, analyse why collusion may be a disadvantage for online consumers buying electrical equipment.

(6)

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3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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4. Question 1 · part f · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Car production is most likely to take place in which sector of the economy?

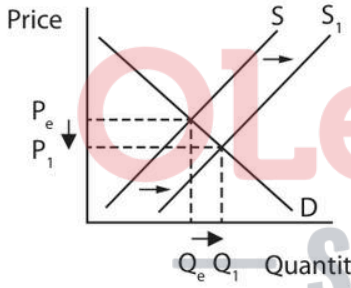
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

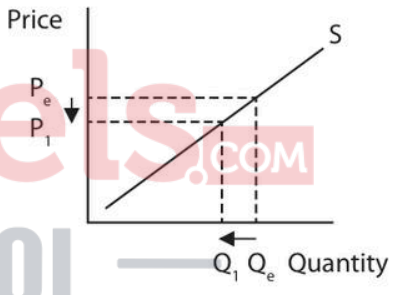
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

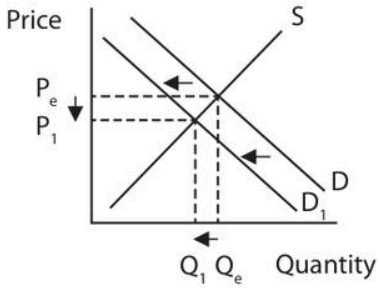
☒ **A**



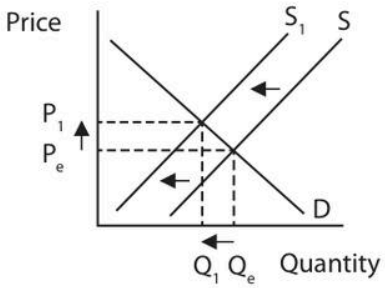
☒ **B**



☒ **C**



☒ **D**



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4. Question 1 · part f · 2 marks

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Further practice · Attempt part f only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

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(e) Define the term external benefit.

(1)

4. Question 1 · part f · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

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4. Question 1 · part f · 2 marks

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Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effects of an increase in the birth rate on the market for toys. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

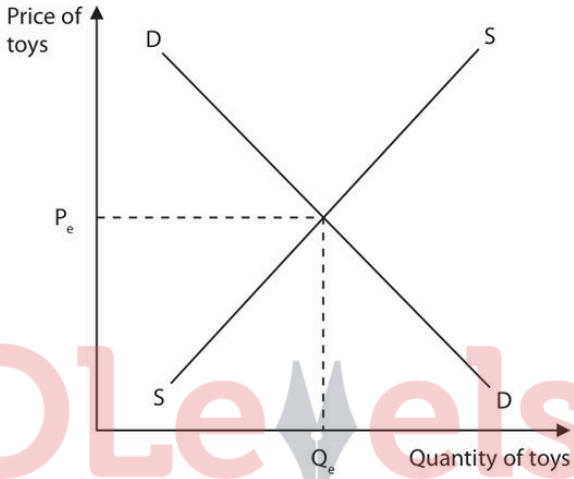


Figure 2

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4. Question 1 · part f · 2 marks · Working and answer

Working and answer

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5. Question 1 · part f · 2 marks

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Further practice · Attempt part f only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

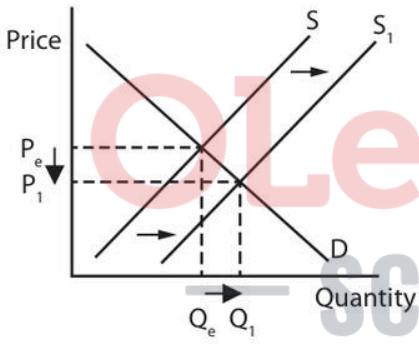
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

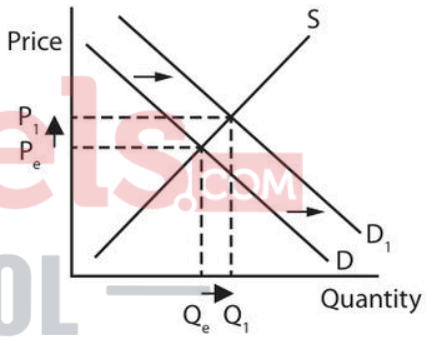
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

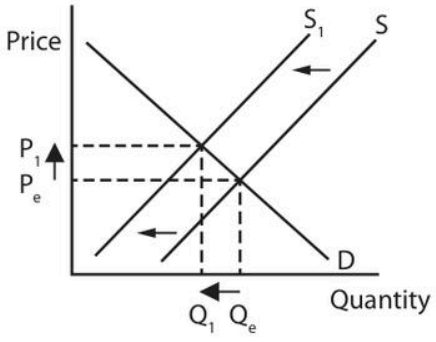
☒ **A**



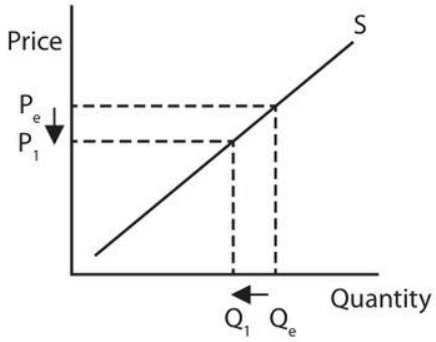
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

5. Question 1 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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5. Question 1 · part f · 2 marks

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Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effects on the market for bread after a decrease in the population. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

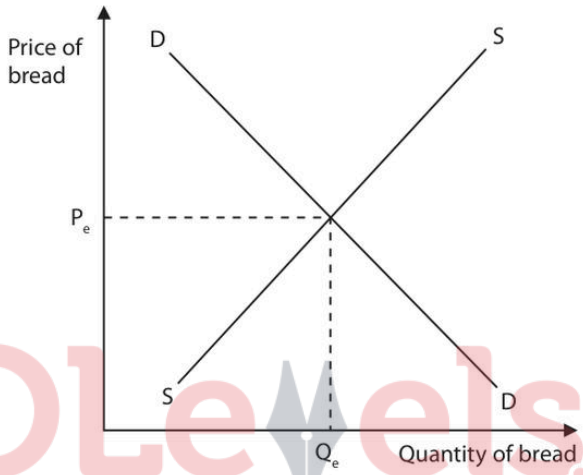


Figure 2

The music entertainment industry is dominated by a few main firms. These are BMG, EMI Group, Sony, Universal Music Group and Warner.

(h) Explain **one** possible barrier to entry a new firm might face when trying to enter this industry.

(3)

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5. Question 1 · part f · 2 marks · Working and answer

Working and answer

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6. Question 4 · part a · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part a only.

4 A restaurant in Cyprus can seat 136 diners each evening. The demand for seats from diners over three evenings is shown in Figure 5.

Evening	Quantity of seats demanded
Thursday	98
Friday	114
Saturday	107

Figure 5

(a) Calculate the **excess supply** of seats if the quantity supplied during these three evenings totalled 408. You are advised to show your working.

(2)

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6. Question 4 · part a · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part a only.

Street lighting is provided by governments in many countries. It is provided to improve safety for pedestrians and increase visibility for motorists. It also provides a more inviting environment after dark.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem means street lighting is provided by the government.

(6)

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6. Question 4 · part a · 2 marks · Working and answer

Working and answer

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7. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 The demand for meals over three lunchtimes at a café in Austria is shown below.

Day	Quantity of meals demanded
Thursday	58
Friday	64
Saturday	79

Figure 5

(a) Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working.

(2)

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7. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

The market structure of the airline industry is an oligopoly. Major airlines, such as Emirates, Lufthansa, Qantas and Delta Airlines compete with one another over the routes they offer. Passengers are able to travel to countries worldwide for work, leisure and to visit family and friends.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers.

(6)

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7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

4 A sports arena in Guatemala holds a maximum of 20,000 people for each event. The quantity of tickets demanded for the most recent events is shown below.

Event	Quantity of tickets demanded
A	22,200
B	21,000
C	20,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three events totals 60,000. You are advised to show your working.

(2)

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8. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

Zambia has a defence force that includes both an army and an air force. The Zambian Government is responsible for the provision of this defence force.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

Working and answer

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9. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part a only.

4 A factory has been unable to meet the demand for its product due to a shortage of raw materials. The quantity demanded for the product during each of the first three months of 2024 is shown in Figure 5.

Month	Quantity of products demanded
January	13,600
February	14,200
March	11,700

Figure 5

(a) Calculate the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working.

(2)

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9. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part a only.

Hiking is a popular activity for visitors to the Caribbean island of Saint Vincent. Tourists can hire a guide to accompany them on the popular route of La Soufrière Volcano by booking online before arriving on the island and the price is $34. However, the price is only $20 if the guide is booked directly on arrival. Some tourists have complained because they did not know this was possible.

(b) With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources.

(6)

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9. Question 4 · part a · 2 marks · Working and answer

Working and answer

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10. Question 1 · part f · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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10. Question 1 · part f · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

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10. Question 1 · part f · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

Figure 2 shows the market for radios.

(g) Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

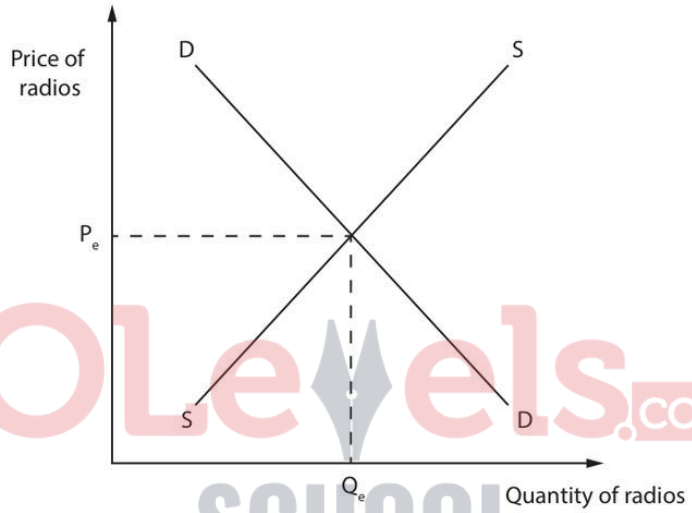


Figure 2

A study in the US concluded that mergers of pharmaceutical firms often benefit consumers.

(h) Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.

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10. Question 1 · part f · 2 marks · Working and answer

Working and answer

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